

Employee Benefits Guide

Version: 5.0 | Effective Date: January 1, 2026

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1. Purpose

The Mad Company Employee Benefits Guide provides comprehensive information regarding the benefits programs available to eligible employees and their dependents. This guide serves as a reference for enrollment, eligibility requirements, coverage levels, employer contribution details, and administrative procedures governing all company-sponsored benefit plans. The information herein is current as of the revision date; plan terms are subject to change upon plan document amendment by the participating insurance carriers or the company.

Employees are strongly encouraged to review this guide annually during open enrollment and to consult with the HR Benefits team for personalized advice regarding their specific situation. This guide does not constitute a contract of employment or a guarantee of continued benefits.

2. Eligibility and Enrollment Timelines

>2.1 Standard Eligibility Window

Full-time employees become eligible to enroll in company-sponsored benefit plans on their first day of employment. Part-time employees (minimum 30 hours per week) become eligible after completing ninety (90) consecutive days of service. Benefits eligibility for part-time employees is proportional to FTE status where plan terms specify proration by work percentage.

>2.2 Open Enrollment Period

The annual Open Enrollment period occurs during the month of November each year, with enrollment selections taking effect on January 1 of the following calendar year. Employees who fail to make any changes during open enrollment will be automatically rolled over into their current plan selections for the subsequent year. Exceptions apply only in cases of qualifying life events as described in Section 2.3.

>2.3 Qualifying Life Event Special Enrollment

Employees experiencing a qualifying life event (QLE) may enroll in or modify benefit coverage outside the annual open enrollment window under a Special Enrollment Period. Qualifying life events include: - Marriage, divorce, or legal separation. - Birth, adoption, or foster placement of a dependent child. - Death of a covered dependent or spouse. - Loss of other health coverage (e.g., termination of a spouse's plan, aging off a parent's policy). - Change in residence that affects plan availability.

Special enrollment requests must be submitted within thirty (30) calendar days of the qualifying event through Workday's Benefits Enrollment module and require supporting documentation (e.g., marriage certificate, death certificate, proof of loss of coverage letter).

>2.4 Dependent Verification

All dependents claimed for benefits enrollment must be verified upon request with acceptable documentation: - Spouse: Valid marriage certificate or state-recognized domestic partnership registration. - Children (biological): Birth certificate or hospital record. - Adopted/Foster Children: Legal adoption decree or foster placement agreement from a licensed agency. - Stepchildren/Legal Dependents: Court order declaring dependency, IRS Form W-6 or tax return dependency claim, and proof of financial support exceeding 50% of the dependent's expenses.

The company reserves the right to conduct post-enrollment dependent audits. Employees who provide fraudulent or materially inaccurate dependency information may face benefit termination and potential disciplinary action.

3. Medical Insurance Plans

>3.1 Plan Options

Mad Company offers two medical plan options, each administered by a top-tier national carrier:

3.1.1 Preferred Provider Organization (PPO) Plan

Network: Broadest network access; no referrals required for specialist visits. Monthly Premium (employer-paid portion): Up to 85% of the individual premium cost and up to 70% of the family premium cost, subsidized by the company. Deductible: \$1,500 individual / \$3,000 family (per calendar year). Out-of-Pocket Maximum: \$4,500 individual / \$9,000 family. Coinsurance: 80/20 split after deductible (company pays 80%, employee pays 20%). Prescription Drugs: Generic — \$15 copay; Brand — \$45 copay; Specialty — coinsurance at 20%.

3.1.2 Health Maintenance Organization (HMO) Plan

Network: Restricted to in-network providers except in emergencies; primary care physician (PCP) referral required for specialists. Monthly Premium (employer-paid portion): Up to 90% of the individual premium cost and up to 75% of the family premium cost, subsidized by the company. Deductible: \$0 for in-network services; \$2,000 individual / \$4,000 family for out-of-network. Out-of-Pocket Maximum: \$2,500 individual / \$5,000 family (in-network only). Coinsurance: \$0 copay for in-network preventive services; \$25 PCP, \$50 specialist copay thereafter.

>3.2 Employer Premium Subsidy Cap

The company's premium subsidy contribution shall not exceed the maximums stated in Section 3.1. Employees who select coverage tiers that result in a company cost above the subsidy cap will pay the difference as an after-tax payroll deduction. The subsidy cap applies to the standard carrier rate; any supplemental riders or voluntary add-ons are fully paid by the employee.

4. Dental Insurance

>4.1 Plan Tiers

4.1.1 Basic Dental Plan

Coverage: Preventive services (cleanings, exams, X-rays) at 100% after a \$50 annual deductible; basic restorative procedures (fillings, extractions) at 80% coverage up to the annual maximum of \$1,500. Premiums: Company pays 75% of individual premium; employee pays remaining 25%.

4.1.2 Premium Dental Plan

Coverage: Preventive services at 100%; basic procedures at 80%; major procedures (crowns, bridges, dentures) at 50% coverage up to the annual maximum of \$2,500. Orthodontic Coverage: Up to \$2,000 lifetime maximum for orthodontic treatment (braces, aligners), available for employees and their dependent children under age 26. Orthodontic claims are processed as a single lump-sum benefit rather than per-tooth coverage. Premiums: Company pays 75% of individual premium; employee pays remaining 25%.

>4.2 Plan Administration

Dental benefits are administered through the company's designated dental carrier. Employees may select an in-network provider from the carrier's directory or submit out-of-network claims for partial reimbursement at the PPO-equivalent rate (70% of the carrier's allowed amount).

5. Vision Insurance

>5.1 Plan Features

The company-sponsored vision plan covers: - Annual Comprehensive Eye Examination: One exam per calendar year at 100% coverage in-network; \$0 copay for participants. - Frame Allowance: \$200 allowance every twenty-four (24) months toward the purchase of prescription eyeglass frames, available for employees and enrolled dependents. - Lens Coverage: Standard single-vision lenses at 100% in-network; upgradable to progressive or high-index lenses with employee responsibility for the cost differential. - Contact Lenses: Reimbursement up to \$150 per twenty-four-month period for contact lens purchases, submitted with receipt and prescription documentation.

>5.2 Plan Administrator

Vision benefits are administered through a dedicated vision insurance provider. The current carrier network includes over 15,000 optometrists and ophthalmologists nationwide.

Employees should verify in-network status prior to scheduling appointments.

6. Health Savings Account (HSA) and Flexible Spending Accounts (FSA)

>6.1 HSA Employer Contribution

Employees enrolled in the PPO medical plan may elect a Health Savings Account (HSA). The company makes the following non-waivable contributions to eligible employees' HSAs: - Individual coverage: \$1,000 per calendar year. - Family coverage: \$2,000 per calendar year. HSA employer contributions are deposited quarterly and vest immediately. HSA funds roll over indefinitely from year to year with no use-it-or-lose-it restriction. After separation from employment, the employee retains full ownership of accumulated HSA funds.

>6.2 Dependent Care Flexible Spending Account (DCFSA)

Employees may elect a Dependent Care FSA to set aside pre-tax dollars for eligible dependent care expenses (e.g., daycare, preschool, adult day care for elderly parents). The maximum annual election is \$5,000 per household (\$2,500 for married individuals filing separately), in accordance with IRS Section 125 provisions.

>6.3 Healthcare Flexible Spending Account (HCFSA)

Employees enrolled in any medical plan may also elect a Healthcare FSA for unreimbursed medical expenses not covered by insurance. The maximum annual election is \$3,250 per individual (2026 IRS limit). A grace period of up to 2.5 months post-plan-year end is available for remaining HCFSA balances.

7. Retirement Savings — 401(k) Plan

>7.1 Employer Matching Contribution

Mad Company sponsors a qualified 401(k) retirement plan through an established provider. The company provides an employer matching contribution of up to five percent (5%) of the employee's eligible compensation, structured as follows: - The company matches 100% of employee contributions up to the first 3% of eligible compensation. - The company matches 50% of employee contributions for the portion between 3% and 5% of eligible compensation. Example: An employee earning \$100,000 who contributes 5% (\$5,000) receives a company match of \$3,500 ($3\% \times \$100,000 = \$3,000$ at 100% + $2\% \times \$100,000 = \$1,000$ at 50%).

>7.2 Vesting Schedule

Employer matching contributions vest immediately upon deposit. Employee deferrals are always 100% vested. There is no graded vesting schedule or forfeiture provision for employer matches under the current plan terms.

>7.3 Eligibility and Enrollment

Employees become eligible to participate in the 401(k) plan on their first day of employment. Employees must elect to defer at least 1% of eligible compensation to qualify for any portion of the employer match. There is no maximum or minimum deferral limit other than IRS annual contribution limits (\$23,000 employee elective deferral for 2026, plus \$7,500 catch-up for employees age 50 and older).

8. Wellness Stipend

>8.1 Monthly Allowance

Each eligible employee receives a \$50 per month wellness stipend (equivalent to \$600 annually) usable toward qualifying wellness activities. The stipend is administered through a dedicated wellness reimbursement platform and disbursed monthly via payroll supplement.

>8.2 Qualified Wellness Expenses

Eligible expenses include: - Commercial gym or fitness center memberships. - Fitness app subscriptions (e.g., Peloton App, Strava, Fitbit Premium). - Yoga, Pilates, or martial arts class memberships. - Running club registration fees and marathon entry fees. - Home fitness equipment purchases up to \$300 per calendar year (one-time annual cap). - Mental health and mindfulness app subscriptions (e.g., Calm, Headspace premium tiers).

>8.3 Unqualified Expenses

The following are not eligible for wellness stipend reimbursement: smoking cessation products, cosmetic procedures, spa services not medically prescribed, or personal training sessions that are billed on a per-session basis exceeding \$100/session without a documented therapeutic referral.

9. Open Enrollment Schedule and Key Dates

| Event | Timeframe | Action Required | |---|---|---| | Benefits Guide Distribution | October 15 | HR distributes updated guide to all employees | | Open Enrollment Period | November 1 – November 30 | Employees review options and submit selections via Workday | | Carrier Rate Confirmation | November (mid-month) | Insurance carriers finalize next-year premium schedules | | Election Deadline | November 30, 5:00 PM EST | Final cutoff for all open enrollment elections | | Coverage Effective Date | January 1 | New benefit year begins; selections take effect | | Benefits Q&A Webinars | October and November (bi-weekly) | HR hosts virtual sessions for employee questions |

>9.1 Post-Open Enrollment Support

Employees who require assistance during open enrollment may schedule a one-on-one consultation with an HR Benefits Specialist by emailing benefits@madcompany.com. Independent broker support is available quarterly at no additional cost to the employee and can be booked through the HR portal's scheduling tool.

10. Policy Acknowledgment

All employees are required to review and acknowledge this Benefits Guide annually during performance review cycles. The acknowledgment must be completed in Workday before the close of the fiscal year. Questions regarding specific plan provisions, coverage questions, or enrollment assistance should be directed to the HR Benefits Administration team.

Revision History

| Version | Date | Changes | Approved By | |---|---|---|---| | 4.0 | January 1, 2025 | Updated HSA employer contributions; added mental health app stipend eligibility | VP HR / Benefits Committee | | 5.0 | August 10, 2026 | Clarified dependent verification standards; added DCFSA/HCFSA details | VP HR / Legal / Tax |

Department Contacts

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